

LM03 Investments in Private Capital - Equity and Debt

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1. Introduction

This learning module covers:

- Features and investment characteristics of private equity
- Features and investment characteristics of private debt
- Diversification benefits of private capital

2. Private Equity Investment Characteristics

Private capital is a broad term for funding provided to companies that is not sourced from the public equity or debt markets.

Capital that is provided in the form of equity investments is called private equity, whereas capital that is provided as a loan or other form of debt is called private debt.

Private Equity: Description

Private equity means investing in private companies or public companies with the intent to take them private. The companies in which the private equity funds invests are called *portfolio companies* because they will become part of the private equity fund portfolio.

The three main categories of private equity are:

- Leveraged buyouts: Borrowed funds are used to buy an established company.
- Venture capital: Refers to investments in companies that have not been established yet.
- Growth capital: Refers to minority equity investments in mature companies that require funds for growth or expansion, restructuring, entering a new territory, an acquisition, etc.

Leveraged Buyouts

Leveraged buyout is an acquisition of an established public or private company with borrowed funds. If the target company is a public company, then after the acquisition, the company becomes private, i.e., the target company's equity is no longer publicly traded.

The acquisition is significantly financed through debt, hence the name leveraged buyout. LBOs capital structure consists of equity, bank debt, and high-yield bonds. The firm (GP) puts in some money of its own, raises a certain amount from LPs, and a substantial amount of money is borrowed in the form of debt to invest in companies.

For example, assume the GP invests in a target company that requires an investment of \$100 million. In this, the GP invests \$20 million of its money (equity), \$70 million from bank debt, and the remaining \$10 million is raised by issuing high-yield bonds.

There are three changes that happen to a company as a result of a leveraged buyout:

- An increase in financial leverage.

- Change in management or the way the company is run.
- If the target company is previously public, after the LBO it becomes private.

Why LBO?

- To improve the company's operations; to add value and eventually increase cash flows and profits.
- Leverage will enhance potential returns once the restructuring/growth strategy is complete and the company turns profitable. Debt is central to an LBO structure. Buyouts are rarely done entirely using equity.

There are two types of LBOs:

- Management buyouts (MBO): Current management team purchases and runs the company.
- Management buy-ins (MBI): Current management team is replaced and the acquirer team runs the company.

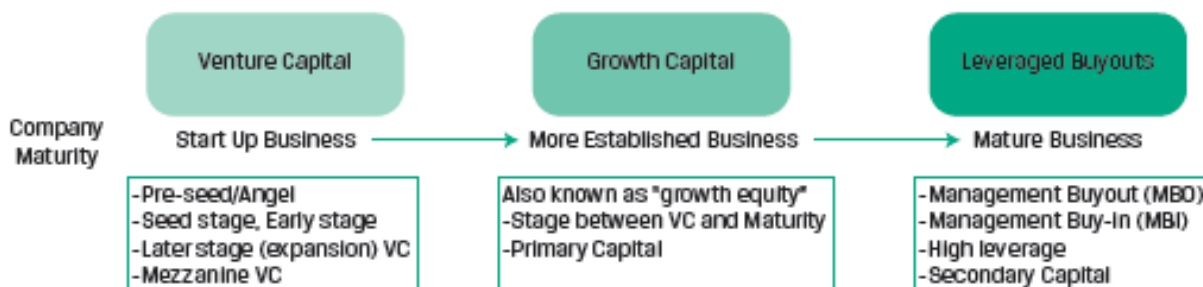
Venture Capital

Venture capital firms invest in private companies (portfolio companies) with significant growth potential. The time horizon is typically long-term. The distinction between VC and LBO is that the latter invests in mature companies, whereas VC invests in growing companies with a good business plan and strong prospects for future growth.

Other important points related to VCs are given below:

- Venture capitalists are actively involved in the companies they invest in.
- The rate of return expected depends on the stage the company is in when the investment happens.
- VC investing can take place at various stages
 - Formative stage: Company is still being formed.
 - *Angel investing*: Financing provided at the idea stage.
 - *Seed stage financing*: Financing provided for product development and market research.
 - *Early stage*: Financing for companies moving towards operation, but before commercial production and sales. Fund to initiate commercial production and sales.
 - Later stage financing: For expansion after commercial production and sales but before IPO.
 - Mezzanine stage: Preparing to go public.

The following exhibit shows the growth stages of a company and the types of financing it may receive at each stage.



PIPE (Private Investment in public equity):

- A PIPE occurs when an institutional or accredited investor purchases stock from a public company at a discount to the market price.
- PIPEs save companies time and money while raising funds because they have less stringent regulatory requirements than public offerings.
- However, the lower cost of PIPE shares means less capital for the company, and their issuance effectively dilutes the stake of current stockholders.

Private Equity Exit Strategies

The goal of private equity is to improve new or underperforming businesses and exit them at high valuations. Typically, investments (target companies) are held for an average of 5 years. The holding period may be longer or shorter.

The three common exit strategies are:

- Trade sale: Selling the company to a competitor or any strategic buyer. It can be done through auction or private negotiation. For instance, if a PE firm (GP) invested in a small generic pharma company, it may sell it to large pharma firm after a few years.
- IPO: Company goes public, i.e., it sells all or some of its shares to public investors.
- Special purpose acquisition company (SPAC): A SPAC is a shell company, often called a "blank check" company, because it exists solely for the purpose of acquiring an unspecified private company sometime in the future. SPACs raise capital through IPOs and deposit the proceeds in a trust account. They have a finite time (e.g. 24 months) to complete a deal; otherwise, the proceeds are returned back to the investors.

Exhibit 3 from the curriculum lists the pros and cons of these three strategies.

Strategy	Advantage	Disadvantage
Trade Sale	1. Immediate cash exit 2. Higher price from synergy-seeking strategic buyers 3. Fast and simple execution 4. Streamlined process on transaction cost, disclosure, and confidentiality from dealing with only one party	1. Potential management opposition 2. Limited set of buyers 3. Reduced financial appeal to employees due to forgone monetization of ownership stakes/options
IPO	1. Highest potential share price 2. Likeliest management approval 3. Notoriety to private equity sponsor 4. Sharing in potential share price appreciation from ongoing ownership stake	1. High transaction costs 2. Long lead time 3. Stock market volatility creating value uncertainty 4. Onerous disclosure 5. Potential lockup period freezing capital committed to deal 6. Suitable mainly for large and fast-growing companies
SPAC	1. Extended disclosure time and ability to provide forward guidance to develop investor interest 2. Fixed valuation with lower share price volatility 3. Transaction structure flexibility 4. Involvement of high-profile, seasoned sponsors and their investor networks	1. Potential higher capital costs of dilution, warrants, and fees 2. Divergence between announced and true equity value due to dilution 3. Deal and capital risk of potential redemptions 4. Prolonged post-merger stockholder overhang and churn

Other exit strategies include:

- **Recapitalization:** The PE firm increases leverage or introduces it to the portfolio company and pays itself a dividend out of the new capital structure. Not a true exit strategy, as the PE firm still maintains control, but it does allow the PE firm to extract money from the company.
- **Secondary sale:** Assume you are a VC firm that focuses on early-stage companies. You may sell the portfolio company later to another private equity firm that focuses on later stage companies.
- **Write off/liquidation:** This is a worst-case scenario when the investment has not gone as planned. The company's prospects do not look promising, so the VC firm sells the assets or writes it off to focus on other projects.

Risk-Return from Private Equity Investments

Private equity may provide higher return opportunities relative to traditional investments. Some of its benefits include the following:

- Access to private companies.
- Ability to actively manage and improve portfolio companies.

- Easy to use leverage.

However, the higher return is often associated with higher illiquidity and leverage risks.

3. Private Debt Investment Characteristics

Private Debt Categories

Private debt refers to various forms of debt provided by investors to private entities.

Key private debt categories include:

- Direct lending: Debt capital is provided at higher interest rates, directly to entities that require capital, but are unable to get capital from traditional bank lenders. Lenders subsequently receive interest, the original principal, and possibly other payments in exchange for their investment.

In direct lending, many firms may also provide debt in the form of a *leveraged loan*, a loan that is itself levered. Private debt firms that invest in leveraged loans first borrow money to finance the debt and then extend it to another borrower. Through leverage, a private debt fund can enhance the return on its loan portfolio.

- Mezzanine debt: Refers to private credit that is subordinated to senior secured debt but is senior to equity in the borrower's capital structure. Because of the higher risk, investors commonly demand a higher interest rate and may also require options for equity participation.
- Venture debt: Debt funding provided to start-up or early-stage companies that may be generating little or negative cash flow. Entrepreneurs may seek venture debt as a way to access funds without further diluting shareholder ownership in their companies. Similar to mezzanine debt, venture debt may contain additional feature that compensate investors for the increased risk.
- Distressed debt: Refers to buying debt of mature companies with financial difficulty such a bankruptcy proceeding. Investors seek companies with a temporary cash-flow problem but a good business plan. They may also get actively involved in the management of the company and help turn it around.
- Unitranche debt: It consists of a hybrid or blended loan structure combining different tranches of secured and unsecured debt into a single loan with a single, blended interest rate. The interest rate will generally fall between the interest rates demanded on secured and unsecured debt.

Risk-Return of Private Debt

Private debt, like private equity, can be arranged on a direct or indirect basis, with funds deployed directly from an investor or through a fund over the corporate life cycle.

Investors receive interest payments and the return of principal at the end of a specified term,

with debt typically secured and protected by covenants.

Private debt investments can provide a higher return as compared to traditional bonds. However, this higher return is often connected to higher levels of risk.

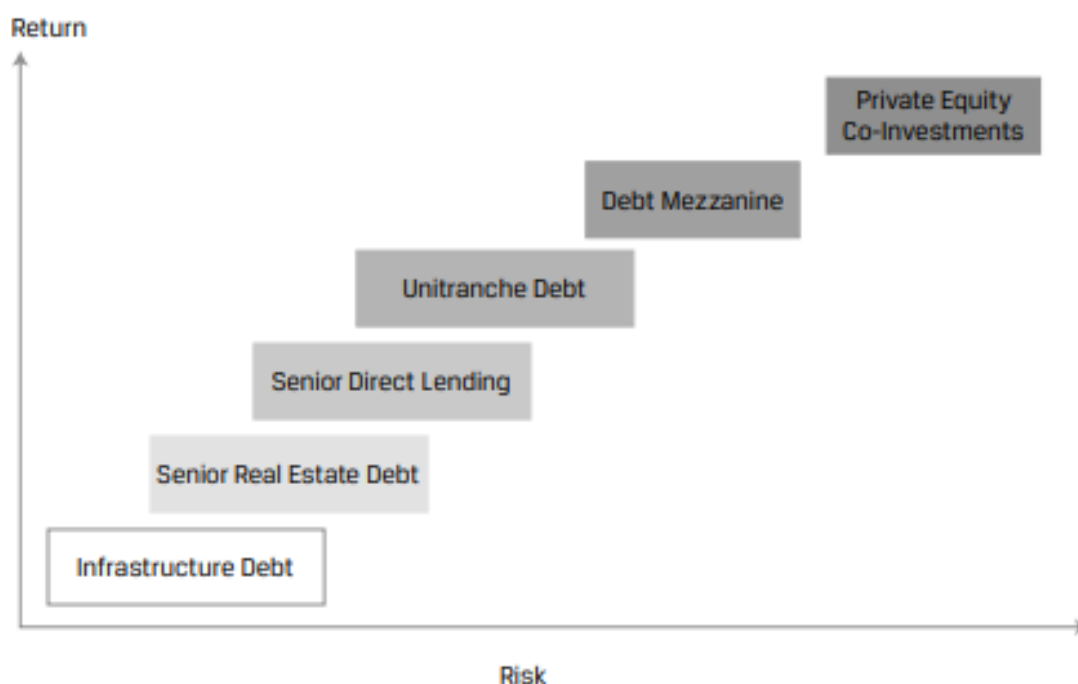
4. Diversification Benefits of Private Capital

Due to illiquidity and concentration risk, as well as the often-greater uncertainties of both their underlying businesses and the means to hedge away their risks, private debt and equity differ from their public counterparts in terms of risks and performance.

Vintage year:

- A fundamental timing characteristic for private capital is its vintage year (year of launch). The valuation and economic environment at the fund's inception can have a significant impact on realized results over the fund's lifespan.
- To offset the potentially adverse impact of an ill-timed fund launch at an unfavorable stage of the business cycle, investors can diversify exposure across fund vintage years.

Investments in private capital vary in terms of risk and return across the corporate capital structure hierarchy. Exhibit 6 from the curriculum plots the various private equity and private capital categories by their risk and return levels.



Investments in private capital funds can add a moderate diversification benefit to a portfolio of publicly traded stocks and bonds.

Summary

LO: Explain features of private equity and its investment characteristics.

Private equity means investing in private companies or public companies with the intent to take them private. The three main categories of private equity are: leveraged buyouts, venture capital, and growth capital. The main exit strategies are: trade sale, IPO, and SPAC.

LO: Explain features of private debt and its investment characteristics.

Private debt refers to various forms of debt provided by investors to private entities. Key private debt categories include: direct lending, mezzanine debt, venture debt, and distressed debt.

LO: Describe the diversification benefits that private capital can provide.

A fundamental timing characteristic for private capital is its vintage year (year of launch). The valuation and economic environment at the fund's inception can have a significant impact on realized results over the fund's lifespan.

Investments in private capital funds can add a moderate diversification benefit to a portfolio of publicly traded stocks and bonds.